

LOAN UNDERWRITING POLICY

RAG Demo Edition

Based on the supplied RRFL Loan Policy

Document status	Portfolio / technical demonstration
Version	1.0
Date	22 July 2026
Intended use	RAG retrieval, policy grounding and GenAI report generation

IMPORTANT STATUS NOTICE

This document is not an official policy of Reliance Retail Finance Limited (RRFL), Reliance Industries Limited or the Reserve Bank of India. Part I summarizes provisions from the user-supplied RRFL Loan Policy. Part II and the appendices contain synthetic operating thresholds created solely for a portfolio-grade technical demonstration. They must not be used for real lending decisions.

Prepared for a GenAI Credit Underwriting Copilot project

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How to read this document

Blue labels indicate source-derived content summarized from the supplied PDF. Orange labels indicate demo additions. When a source principle and a demo threshold differ in status, the source principle takes precedence and the demo threshold remains non-authoritative.

Part I - Source-Derived Policy Framework

SOURCE-DERIVED SUMMARY - based only on the supplied RRFL Loan Policy

The following sections preserve the original policy's terminology, sequence and core principles while condensing the seven-page source document for retrieval and demonstration. They do not add numeric underwriting thresholds that were absent from the source.

1. Objective and Scope

- RRFL is described as a non-deposit accepting NBFC required to comply with RBI directions and other legal requirements.
- The policy aims to standardize lending procedures, strengthen due diligence, define risk appetite, establish underwriting limits, and support loan monitoring and recovery.
- Lending operations are expected to follow ethical, compliance and industry best-practice standards.

2. Business Strategy and Business Operations

- Operations should be financially sustainable through interest income, investment income and service fees.
- The business may include retail lending, corporate lending and other product segments approved by the competent committee.
- Retail lending may cover personal loans, consumer durables, travel, marriage and related purposes; product parameters and portfolio limits may be determined by the committee.

3. Purpose of Loan

- Near-term use cases include affordable device financing, working capital for small merchants, and credit support for farmers.
- Long-term use cases include consumer-durable loans, cash loans and other curated retail products.
- Corporate lending may be extended for business needs within the approved risk appetite and regulatory framework.

4. Customer Selection

- Eligible customer categories include salaried employees of public-sector organizations, salaried employees of private-sector companies, self-employed individuals and students.

5. Loan Underwriting

- The process begins with a loan application, followed by KYC document verification and credit appraisal.
- Income statements, PAN, Form 16 or other supporting documents may be requested as necessary.
- The final sanction decision remains with RRFL after the required checks.
- For unsecured lending, the applicant's ability and intention to repay should be assessed as thoroughly as possible, including through alternative data where appropriate.
- Unsecured loans should not be granted without verifiable regular income, except for students supported by a guarantor.

6. Tenor

- Retail-loan tenor should not exceed five years.
- Other credit facilities may have different limits subject to policy and sanctioning authority, with the source stating an overall maximum period of twenty years for credit facilities.

7. Determination of Interest Rates

- The base rate considers cost of funds, operational costs and the desired minimum return; a customer-specific risk premium may be added.
- Relevant customer factors include bureau rating, repayment history, alternative-data results, applied amount and tenor.
- Rates may also reflect market benchmarks and peer pricing.
- The effective annualized rate, fees, charges and rationale for risk-based pricing should be transparent and communicated to the borrower.

8. Customer Journey

- Customers may access services independently through web or mobile channels, or through assisted online/offline channels.

9. Pre-approved Customers

- Pre-approved offers may be identified using credit bureau information, alternative data and a decision engine, subject to customer consent before disbursement.

10. General Information

- Customers should be informed of loan features, terms, conditions and charges before processing.
- Written consent is required for online or telephonic sourcing.
- Sanctioning should not discriminate on gender, caste or religion.
- Post-sanction documents, repayment schedules and relevant terms should be provided and explained to the customer.
- Customers should be informed of account status before it becomes a non-performing asset, where feasible.

11. Reporting to Credit Information Companies

- Borrower credit information should be submitted and updated with credit information companies monthly or at a shorter interval.

12. Periodic Updation

- The policy should be reviewed annually or whenever a review is otherwise required.

Gap identified in the source

The supplied policy defines governance principles but does not provide exact cutoffs for income, bureau score, affordability, risk bands, product limits, automatic declines or manual-review triggers. Part II supplies synthetic values only to make the RAG and decision-support demo operational.

Part II - Synthetic Operational Underwriting Rules

DEMO ADDITION - synthetic thresholds for technical demonstration only

13. Policy Status, Definitions and Decision Hierarchy

13.1 Status. The rules in Part II are a non-production demo layer. They operationalize the principles in Part I but do not represent RRFL, RBI or industry-approved thresholds.

13.2 Decision hierarchy. When multiple rules apply, the system should use the following precedence:

1. Consent, KYC, fraud and legal restrictions.
2. Hard affordability and repayment-history rules.
3. Product eligibility and exposure limits.
4. Model risk ranking and SHAP explanation.
5. Human underwriter review and final sanction.

13.3 Decision labels. The system may recommend only: Eligible for straight-through processing, Conditional approval, Manual review, or Decline. Final sanction remains a human or authorized-credit-function decision.

14. Customer Eligibility and Income Verification

Customer type	Demo eligibility rule	Default route
Salaried applicant	Age 21-60 at loan maturity; at least 6 months with current employer or 12 months cumulative employment; verifiable net monthly income of at least INR 15,000.	Standard or manual review
Self-employed applicant	Age 21-65 at loan maturity; at least 24 months in business; verifiable business income and banking activity.	Standard or manual review
Student applicant	Age 18 or older; recognized course/institution; guarantor or co-borrower with verifiable income.	Manual review mandatory
Thin-file / no bureau history	No adverse fraud or identity signal; income and bank evidence must be available.	Manual review

- Unsecured credit requires verifiable regular income, except a student case supported by an acceptable guarantor, consistent with the source policy principle.
- Income should be supported by documents and, where available, matched against bank credits and employer or business evidence.
- A declared-versus-observed income discrepancy above 10% requires manual review; above 25% without a reasonable explanation results in decline.

15. Affordability and Exposure Limits

15.1 Fixed Obligation to Income Ratio (FOIR). For the demo, FOIR is calculated as existing monthly debt obligations plus the proposed EMI, divided by verified net monthly income.

Threshold	Interpretation	Action
FOIR ≤ 40%	Within standard affordability range	Continue to remaining rules
FOIR > 40% and ≤ 50%	Elevated repayment burden	Manual review or lower sanctioned amount
FOIR > 50%	Unacceptable repayment burden	Decline

15.2 Credit-to-income ratio. Requested credit divided by verified annual income is assessed as follows:

Credit / annual income	Interpretation	Action
≤ 3.0x	Standard range	Continue

Credit / annual income	Interpretation	Action
> 3.0x and <= 5.0x	High leverage	Manual review or reduced amount
> 5.0x	Outside demo risk appetite	Decline

- The maximum sanctioned amount is the lower of the applicable product cap, five times verified annual income and the amount supported by the FOIR test.
- A request within 10% of any maximum limit is routed to manual review.
- The applicant should retain a positive residual monthly income after all obligations; negative or near-zero residual income is a decline condition.

16. Credit Bureau and Repayment-History Rules

Condition	Interpretation	Action
Bureau score >= 700	Acceptable bureau profile	Continue
Bureau score 650-699	Borderline profile	Manual review
Bureau score 600-649	Weak profile	Manual review only with strong mitigants
Bureau score < 600	Outside demo risk appetite	Decline unless score is unavailable due to a verified thin file
No bureau score / thin file	Insufficient conventional history	Manual review using income and banking evidence

- Any 30+ days-past-due event in the previous 6 months triggers manual review.
- Any 60+ days-past-due event in the previous 12 months triggers decline.
- An active NPA, fraud flag, write-off or settled account reported in the previous 24 months triggers decline.
- More than five hard bureau enquiries in the previous 6 months triggers manual review.
- A clean repayment history may be treated as a mitigating factor but does not override a hard decline rule.

17. Model Risk Bands and Explainability

17.1 Model-specific fixed cutoffs. The following thresholds are derived from the project's held-out validation prediction distribution and are fixed for model version 1.1.0:

Band	Fixed cutoff	Validation segment	Policy route
Low	Default score < 0.3499054909	Bottom 50% of validation predictions	Eligible for straight-through processing only if no policy flags exist
Medium	0.3499054909 <= score < 0.5973379612	Next 30%	Manual review
High	Score >= 0.5973379612	Top 20%	Senior manual review; not an automatic decline by itself

Model-score interpretation

The score is used primarily for ranking and segmentation. Because the model used class weighting and may not be fully probability-calibrated, a value such as 0.75 should not automatically be described as a 75% real-world probability of default.

- Local SHAP explanations should identify the strongest features increasing and decreasing the model score.
- Raw feature names and human-readable display names should both be retained for traceability.
- SHAP values explain model behavior, not causation, and should not be presented as direct percentage-point changes in default probability.
- Sensitive variables, including gender, must be excluded from the GenAI-facing explanation and decision narrative.

18. Decision Outcomes and Manual-Review Triggers

Recommendation	Minimum conditions
Eligible for straight-through processing	Low model risk; no hard decline or manual-review trigger;

Recommendation	Minimum conditions
	documents complete; affordability within standard limits.
Conditional approval	Low or medium risk with a remediable condition such as reduced amount, additional proof or guarantor.
Manual review	Any medium/high model band, thin file, borderline affordability, income discrepancy, recent enquiry spike, missing non-critical document or conflicting data.
Decline	At least one hard decline condition in Section 19.

18.1 Mandatory manual-review triggers include:

- Medium or high model-risk band.
- FOIR above 40% and up to 50%, or credit-to-income ratio above 3.0x and up to 5.0x.
- Bureau score below 700 but not subject to a hard decline.
- No bureau score or limited credit history.
- Declared-versus-observed income discrepancy of 10%-25%.
- Income volatility above 30% across the available observation period.
- Requested amount within 10% of a product or exposure cap.
- Student applicant or any application requiring a guarantor.
- Conflicting KYC, employment, account-ownership or repayment information that can potentially be resolved.

19. Automatic Decline Conditions

Human-control requirement

A hard-rule decline may be automatically recommended, but the API or LLM must not execute a legal sanction decision. The reason and supporting evidence must be available for authorized review.

- KYC or identity verification failure, invalid consent, confirmed fraud match or prohibited customer/use case.
- No verifiable regular income for an unsecured loan, except an eligible student case with an acceptable guarantor.
- FOIR above 50% or credit-to-annual-income ratio above 5.0x.
- Active NPA, confirmed fraud, write-off or settled credit account within the previous 24 months.
- Any 60+ days-past-due event within the previous 12 months.
- Bureau score below 600 when the score is valid and adverse repayment history is also present.
- Age outside the product eligibility range at maturity.
- Material document manipulation, unexplained income discrepancy above 25%, or a negative residual-income assessment.

20. Required Document Checklist

Applicant / product	Minimum demo documents
All individual applicants	Completed application and consent; PAN or equivalent tax ID; identity proof; address proof; recent photograph where applicable; bank-account ownership evidence.
Salaried	Latest 3 salary slips; previous 6 months of bank statements; Form 16 or equivalent income-tax evidence where applicable; employment proof.
Self-employed	Previous 12 months of business bank statements; previous 2 years of income-tax returns; business-registration or GST evidence; financial statements where applicable.
Student	Enrollment/admission proof; course and fee schedule; guarantor KYC, income and bank evidence; relationship declaration.
Merchant working capital	Business proof; turnover evidence; settlement or transaction history; GST/ITR where applicable; business bank statements.

- A missing critical document prevents sanction and disbursement.
- A missing non-critical document may route the case to manual review with a documented follow-up request.
- The GenAI system may summarize document status but must not infer that a missing document exists unless the source data explicitly shows it.

21. Product-Specific Demo Criteria

Product	Demo amount range	Maximum tenor	Key conditions
Consumer durable	INR 10,000-300,000	3-36 months	FOIR <= 45%; verified income; goods invoice/quotation.
Cash / personal loan	INR 25,000-1,000,000	6-60 months	FOIR <= 40% for standard route; verified regular income.
Merchant working capital	INR 50,000-2,000,000	3-24 months	At least 12 months in business; bank/settlement evidence; manual review for thin bureau files.
Student loan / fee finance	INR 20,000-500,000	6-60 months	Recognized institution; guarantor mandatory; course and fee evidence.

Product caps are synthetic and may be changed only through documented model/policy versioning. The source policy's five-year maximum retail-loan tenor is retained.

22. Pricing, Tenor and Customer Disclosure

- Interest pricing should reflect the base cost of funds, operational and technology costs, target return, product characteristics and customer risk premium, consistent with the source framework.
- The annualized rate, processing fee, late-payment charges, prepayment/foreclosure charges and other applicable charges should be disclosed before acceptance.
- Risk-based pricing should be explainable through approved factors and should not use protected or sensitive personal characteristics.
- Any exception, moratorium or zero-interest treatment should be recorded with the approving authority and rationale.
- Retail tenor must not exceed 60 months under this demo policy.

23. Fairness, Human Oversight and Model Governance

- Gender, caste, religion and other protected characteristics must not be used in the GenAI decision narrative or as a stated reason for sanction, pricing or decline.
- The current model may retain a sensitive feature temporarily for technical compatibility, but its contribution must be suppressed from customer-facing and GenAI-facing explanations and documented as a model limitation.
- Before production use, the model should be retrained and compared without sensitive variables, and fairness metrics should be reviewed across relevant groups where lawful and appropriate.
- The LLM is limited to retrieval, summarization, contradiction detection, missing-information identification and drafting of a review report.
- The LLM must not calculate financial ratios when trusted programmatic values are available, invent document contents, override policy rules or issue a final legal decision.
- Every generated report should include source citations or policy section IDs and a human-review notice.

24. Monitoring and Periodic Review

Area	Minimum monitoring	Cadence
Model performance	ROC-AUC, top-20% default capture, bad-rate lift, calibration and stability	Monthly or quarterly
Policy outcomes	Approval, conditional approval, manual review, decline and override rates	Monthly
Data quality	Missing fields, unknown categories, out-of-range values, drift and document-extraction accuracy	Continuous / monthly
GenAI quality	Retrieval precision, citation correctness, hallucination rate, numerical consistency and report completeness	Each release and sampled production reviews
Fairness and governance	Sensitive-feature exposure, group-level outcome analysis, override rationale and complaint themes	Quarterly or as required
Policy review	Thresholds, product caps, regulatory changes and risk appetite	At least annually

Appendix A - Consolidated Decision Matrix

DEMO ADDITION - operational rules for the portfolio project

Rule	Standard condition	Standard action	Exception / breach	Action
KYC / consent	Pass	Continue	Fail	Decline recommendation
Income verification	Verified	Continue	Unverifiable for unsecured loan	Decline, except eligible student with guarantor
FOIR	<= 40%	Continue	>40%-50% / >50%	Manual review / Decline
Credit-to-income	<= 3.0x	Continue	>3.0x-5.0x / >5.0x	Manual review / Decline
Bureau score	>= 700	Continue	650-699 / 600-649 / <600	Manual / Manual with mitigants / Decline subject to thin-file exception
Recent repayment	No adverse DPD	Continue	30+ DPD in 6m / 60+ DPD in 12m	Manual / Decline
Model band	Low	Potential straight-through route	Medium / High	Manual / Senior manual review
Sensitive feature	Not used in narrative	Compliant	Appears as decision reason	Suppress and flag governance defect

Appendix B - RAG Chunking and Metadata Guide

For retrieval, each numbered section should be treated as an independent policy chunk. Tables may be split by row when the embedding system supports metadata inheritance.

Metadata field	Example / purpose
document_title	Loan Underwriting Policy - RAG Demo Edition
document_version	1.0
source_status	source-derived or demo-addition
section_id	Example: POL-SRC-05 or POL-DEMO-17
section_title	Human-readable heading
product	all, consumer_durable, personal_loan, merchant_wc, student
decision_type	eligibility, affordability, bureau, decline, manual_review, disclosure, governance
effective_date	2026-07-22 for demo content
authority	supplied source policy or synthetic demo rule

Recommended section identifiers:

- POL-SRC-01 through POL-SRC-12 for the source-derived framework.
- POL-DEMO-13 through POL-DEMO-24 for the synthetic operational rules.
- POL-APP-A for the consolidated decision matrix.
- POL-APP-B for retrieval metadata and implementation notes.

Prompt-grounding rule

The GenAI report should state whether each cited rule is source-derived or a demo addition. It should never represent a synthetic threshold as an official RRFL or RBI requirement.

Appendix C - Glossary

Term	Definition
Bureau score	A score supplied by a credit information company and used as one input into credit appraisal.
CIC	Credit Information Company.
DPD	Days past due on a scheduled payment.
FOIR	Fixed Obligation to Income Ratio: total monthly debt obligations divided by verified net monthly income.
KYC	Know Your Customer identity and address verification.
NPA	Non-performing asset.
RAG	Retrieval-Augmented Generation: retrieving relevant policy text before an LLM drafts an answer.
SHAP	A feature-attribution method that explains how model inputs push a prediction relative to a baseline.
Thin file	An applicant with insufficient conventional credit history for a reliable bureau assessment.

Source and Change Record

Base source: User-supplied PDF titled "Loan Policy - RRFL", seven pages. Part I is a condensed restatement of the source. Part II and all appendices are newly authored synthetic content for the user's technical demonstration.

Version	Date	Change
1.0	22 July 2026	Initial RAG demo edition; added eligibility, affordability, bureau, model-risk, manual-review, decline, document, product and governance rules.

Final use restriction

This document is suitable for software prototyping, retrieval testing and portfolio demonstrations. It is not a substitute for legal, compliance, credit-risk or regulatory review and must not be used to approve, price or decline real customers.